

Challenge now is to lesson shock of price hikes for the poor

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The electricity regulator will soon make a necessary, but unpopular, decision. It will allow Eskom tariffs to double over the next three years.

The decision is necessary because electricity prices are currently uneconomic and insufficient to support new investment by either Eskom or the private sector. It will be unpopular because each of us will be affected negatively. Inflation will increase, economic growth will be blunted and welfare diminished. How do we best mitigate the negative impacts of much higher electricity prices?

Our economy is likely to experience structural changes. We shall have less energy-intensive industries. Mines and businesses will invest in more energy efficient equipment and processes. Some will be able to generate their own power using waste heat. Middle and higher income households will reduce electricity consumption by investing in compact fluorescent light bulbs, insulation in their ceilings, solar water heaters and other smart energy-management devices.

But what about the poor who consume only basic amounts of energy and have limited access to relevant information and investment opportunities to save energy? Already, energy constitutes a significant proportion of their disposable income. Steep electricity price hikes will force even lower consumption, reduce welfare and deepen poverty. Designing and implementing an effective and targeted subsidy system for such households seems both right and possible.

What is not widely appreciated is that South Africa already has extensive electricity subsidies, amounting to more than R 8 billion per annum. There are fiscal subsidies for connecting low-income households (R2.6 bn) as well as a monthly free basic consumption allowance of 50 units (R 1bn). There are also extensive cross-subsidies from Eskom's large industrial consumers to its small household consumers (R2.2 billion) and non-payment, or theft, amounts to an additional free subsidy (R2.5bn), at the expense of other paying consumers, some of them poorer than those not paying.

Of Eskom's four million registered household consumers, an astonishing one third recorded no electricity consumption over the past year. What's happening? Either consumers have switched back to other fuels such as paraffin or, more likely, many of them have worked out how to by-pass the meter and are consuming electricity without paying. Municipalities, who supply the other half of electricity consumers are, in all likelihood, experiencing also high levels of "non-technical" losses. Data is scarce.

So subsidies (either explicit or hidden) are already extensive. But they, by no means, reach all who deserve them. One in four South Africans still do not have access to electricity. They are the poorest of the poor, living in informal urban settlements or remote rural communities. Dealing with this service delivery backlog would mean an investment of about R6 billion per annum over ten years. And extending the free basic electricity allowance of 50 kilowatt hours per month to all low-income households would imply an annual subsidy of R4 billion in three years time, when electricity prices double. Furthermore, Eskom's current cross-subsidies to its Homelight customers would balloon to R5 billion, as would the value of stolen electricity.

Eight billion rand in electricity subsidies now, in three years time, could easily become R20 billion. Clearly the question arises as to how affordable will electricity subsidies be in the future, either fiscally or in terms of cross-subsidies from other electricity consumers? Some have proposed that more electricity is provided free to poor households each month. But a more sensible approach may be to look at whether existing subsidies are well enough targeted: i.e. are all those who need them actually receiving them.

Following international best practice, it makes sense to continue with subsidies, first, for the capital needed to connect those who still do not have access to electricity and, second, for a basic level of consumption for poor households who can afford only small amounts of electricity. Eskom's Homelight consumers fall into this category. Connection costs are fully subsidized and a free basic amount is provided each month. The supply is limited to 20 Amps – i.e. households can use lights, a small cooker, kettle and other small appliances, but not a hot water geyser or full space heating.

This may seem a patronizing option: we'll give you a subsidy, but only if you limit your consumption. But the reality is that this supply/tariff option best matches the consumption patterns of these households. And the application of the subsidy is simple. Those households who need and want the subsidy self-select this supply option

However, not enough consumers are actually receiving these subsidies. Only 150,000 new connections are being made each year and Eskom disburses only R270 million in free basic electricity subsidies. Data on municipal disbursements of this subsidy are hard to come by, but it would be fair to assume that they also experience challenges.

One of the problems with the Eskom tariff that is applied to these consumers is that after the free basic amount, the consumption charge is higher than the marginal rate of energy production. Eskom is thus trying to recuperate some of its fixed monthly costs of supplying these customers through hiking the consumption tariff. A better subsidy would be to cover all fixed costs, offer the same level of free basic electricity each month, and then to charge subsequent energy use at the marginal cost of production.

So we face really difficult choices. Electricity is becoming unaffordable for the poor. But the scale of subsidies might also be unaffordable fiscally or in terms of cross-subsidies.

Any new proposals for subsidies needs to calculate their full cost if properly applied, how they might grow in the future and whether they are affordable.

There are a number of additional subsidy challenges. What do we do about the not-so-poor, i.e. those who do not want to accept a demand-limited supply but who consume modest amounts of electricity and cannot easily access information or investment to become more energy-efficient? In principle, one can think of subsidy options, but they are more difficult to implement and would need more careful study before finalizing.

Further ways of mitigating electricity price increases would be to limit the profits municipalities make from electricity sales. There is no reason why municipal customers' electricity bills should double over the next three years. While the cost of power purchases from Eskom clearly needs to be passed on to municipal consumers, the balance of the tariff-their own distribution and customer service charges-should rise only by the rate of inflation.

So the challenge is to understand what is affordable in terms of subsidies and how best to target and implement them. Hopefully the electricity regulator will consider these issues carefully before announcing the inevitable electricity price increases.

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